

For downward breakouts, subtract the height from the breakout price. In this case, that's $81.53 - 6.25$ or 75.28 . Price will reach the target just 47% of the time. If you wish to use a different height, I show the hit rate for various multiples of height in the table.



Figure 54.4 This chart shows how a stock can return to the launch price.

Let's put [Table 54.3](#) to use. In this example, price is breaking out downward in a bull market. The potential drop is 6.25, and at the breakout price, that's a projected decline of 8%. Let's round that up to 10%. [Table 54.3](#) shows that 46% of the roofs will fail to see price drop more than 10%. Because we rounded up from 8%, the failure rate will be less than 46%, but wow. It's still going to be huge.

Let's return to our regularly scheduled program ...

Look at the chart again. The launch price is at B (bottom of the chart, in February). The launch price is where the straight-line uptrend leading to the inverted roof begins. It's been my experience that on the way down, price will remain slightly above the launch price (if it can get down that far). So you'll want to trade expecting the stock won't make it all the way down to the price of B.

In this example, price breaks out downward from the chart pattern at C. It drops in a straight-line run down to E where it moves sideways. Notice that